RESERVE BANK OF INDIA

History:

- Formed on April 1, 1935 in accordance with the RBI Act, 1934
- Nationalized on January 1, 1949 (Fully owned by GOI)
- Headquarter moved from Calcutta to Mumbai in 1937
- Osborne Smith was the first Governor of RBI

Administration:

- It is the Central Bank/ Regulator for all banks in India
- Also called "Lender of Last Resort"
- Governors and 4 Deputy Governors along with a central board of directors appointed by the GOI.

Functions:

- Issues currency
- Banker to the government

{It collects receipts of funds and makes payments on behalf of the government}

- Regulator of Indian Banking system
- Custodian of Forex
- Controller of credit

The process of issuing paper currency was started in the 18th century. Private Banks such as the bank of Bengal the bank of Bombay and the Bank of Madras – first printed paper money.

The first rupee was introduced by Sher Shah Suri based on a ratio of 40 copper pieces (paisa) per rupee. The name was derived from the Sanskrit word Raupya, meaning silver. Each banknote has its amount written in 17languages (English and Hindi on the front and 15 others on the back) illustrating the diversity of the country.

4. **Banker to the Government:** It acts as banker both to the central and the state governments. It provides short-term credit. It manages all new issues of government loans, servicing the government debt outstanding and nurturing the market for government securities. It advises the government on banking and financial subjects.

5. **Banker's Bank:** RBI is the bank of all banks in India as it provides loan to banks, accept the deposit of banks, and rediscount the bills of banks.

6. **Lender of last resort:** The banks can borrow from the RBI by keeping eligible securities as collateral at the time of need or crisis, when there is no other source.

7. **Act as clearing house:** For settlement of banking transactions, RBI manages 14 clearing houses. It facilitates the exchange of instruments and processing of payment instructions.

8. **Custodian of foreign exchange reserves:** It acts as a custodian of FOREX. It administers and enforces the provision of Foreign Exchange Management Act (FEMA), 1999. RBI buys and sells foreign currency to maintain the exchange rate of Indian rupee v/s foreign currencies.

9. **Regulator of Economy:** It controls the money supply in the system, monitors different key indicators like GDP, Inflation, etc.